tactics by all nations would only result in universal impoverishment and unemployment. The break-up of the pre-First World War global economy produced by ‘beggar-thy-neighbour’ policies of nations and the decline in world trade were largely seen as being responsible for the war. Another realization was that the automatic tendency towards peace and progress assumed by so many in the Belle Époque was a myth. It was commonly acknowledged that keeping free enterprise functioning globally required the visible hand of government. No system was spontaneously generated, or for that matter, self-regulating, and a new one would have to be created. The alternative was unthinkable. Economic warfare would only be a prelude to military warfare on an even vaster scale.

Bretton Woods brought together a group of extraordinary people of astonishing diversity. Never before had so many government officials and economists carried the search for a practical world monetary order so far. Inevitably, there were sharp disagreements over matters involving the national interest, or personal pride and prejudice, while agreeing in the main on the objectives. During the course of this Chapter and the next, the story of the role played by India and Deshmukh (along with others) in the deliberations will be told. Before we outline India’s participation, it would be interesting to dwell in some detail on the background of the Bretton Woods Conference and the role played by Lord Keynes and Harry Dexter White, the two leading intellectual progenitors of the Fund and the Bank, and the principal protagonists of this drama.

While Franklin D. Roosevelt, the American President had issued invitations to the Conference, and Secretary of the Treasury, Henry Morgenthau, acted as titular head, the principal architects and planners were his aide, Harry Dexter White and Keynes. Keynes’s preoccupation during the war had been to find some way by which it might be safe for Britain to accept the obligations of Article VII of the Lend–Lease Agreement with the United States. While Keynes was clear that a return to the gold standard and free trade was ruled out, thoughts about a major reform of the currency system to restore the system of multilateral payments which had formed the basis of trade expansion in the nineteenth century agitated his mind. Provided all countries were guaranteed sufficient reserves—something the old gold standard had failed to do—it might be possible to dismantle trade barriers which had come up in the 1930s and during the war, and restore the